PRIVATE AND CONFIDENTIAL

The Children's Investment (TCI) Master Fund – Q3 2007 Report

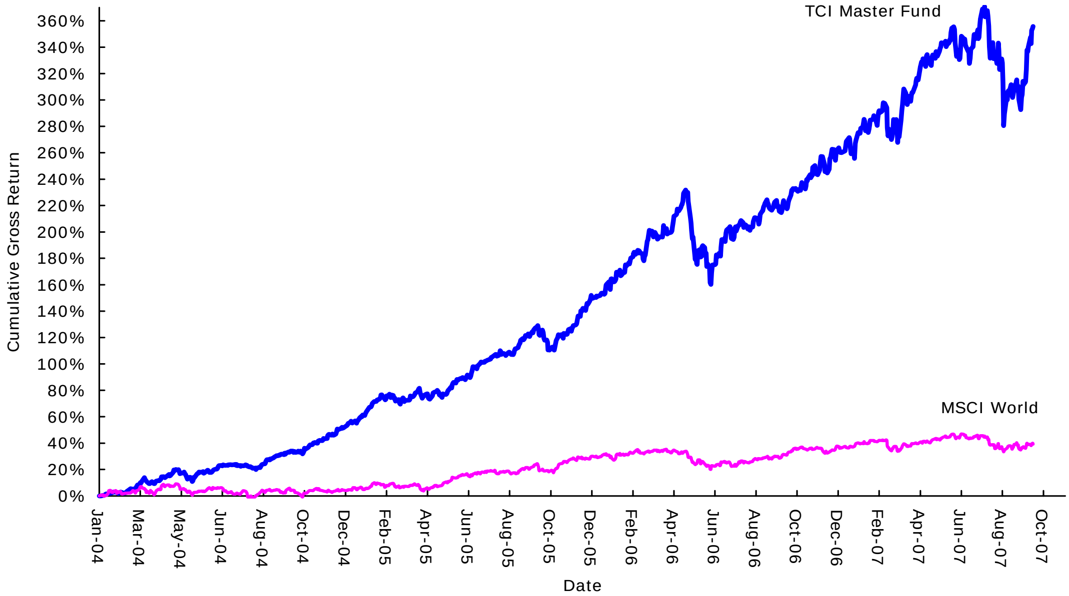
1. Fund Performance

Returns for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Master Fund Assets €m	Class A (3yr) $	Class A (3yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World (€)
Sep 2007*	11,308	+9.24%	+8.85%	+9.24%	+8.85%	+0.21%
Aug 2007	10,123	-5.97%	-6.14%	-5.97%	-6.14%	+0.15%
July 2007	11,056	+0.98%	+0.86%	+0.98%	+0.86%	-3.39%
Q3 2007		+3.73%	+3.04%	+3.73%	+3.04%	-3.04%
Q2 2007		+7.02%	+6.67%	+7.02%	+6.67%	+4.52%
Q1 2007		+7.61%	+7.37%	+7.61%	+7.37%	+0.67%
YTD 2007		+19.45%	+18.02%	+19.45%	+18.02%	+2.02%
Inception Jan 2004		+252.75%	+243.68%	n/a	n/a	+39.13%

Notes: Class C inception was March 1, 2006. Performance figures are those of the Cayman feeder fund and include dividends reinvested. *Performance figures are estimates.
Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, The Children's Investment (TCI) Fund Management (UK) LLP, MSCI Barra

TCI Master Fund (€) vs. MSCI World (€) Since Inception



Notes: Performance for TCI Master Fund is gross and includes dividends reinvested.
Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, The Children's Investment (TCI) Fund Management (UK) LLP, MSCI Barra

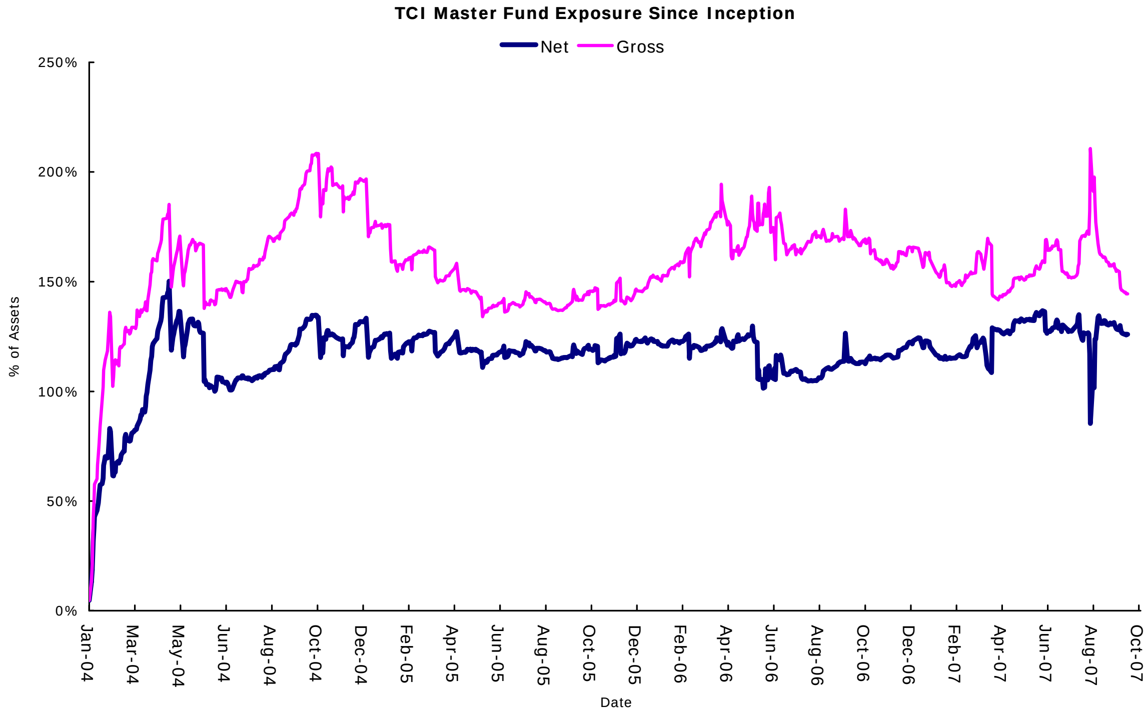
The fund ended the quarter up approximately 3.7% net of fees (US dollar class) and is now up approximately 19% net of fees (US dollar class) for the year.

2. Key Fund Data

a. Exposure Summary

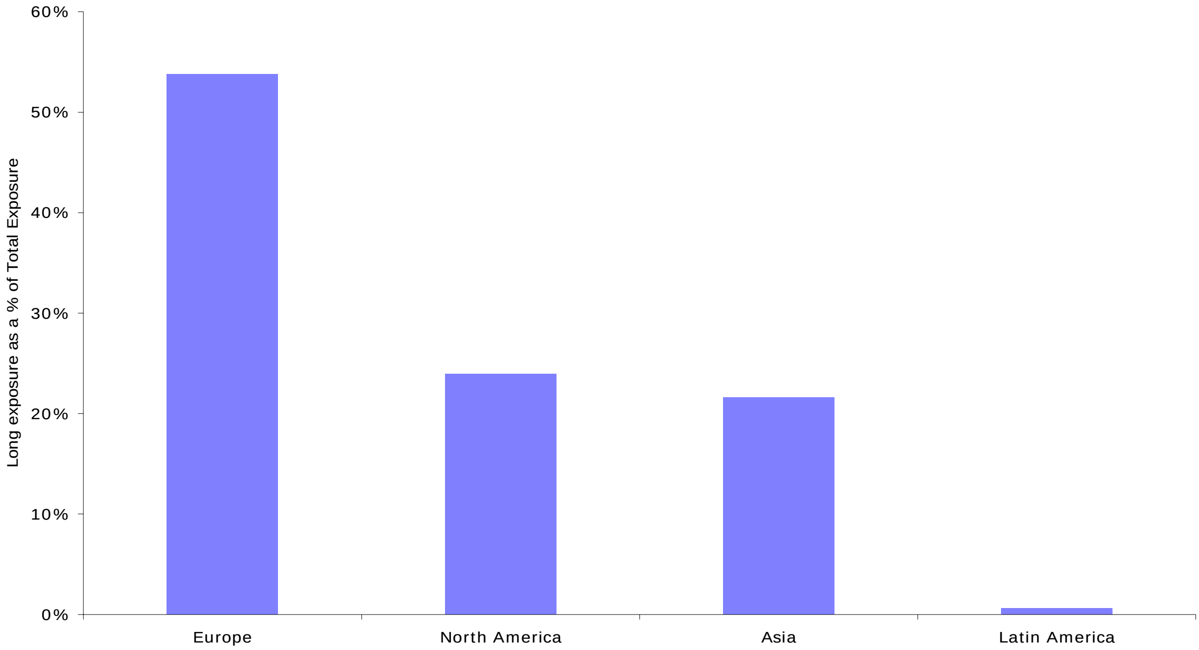
% of Master Fund Net Assets				
Period	**Longs**	**Shorts**	**Gross**	**Net**
End Dec 2006	144%	-20%	164%	124%
End Jan 2007	135%	-19%	154%	116%
End Feb 2007	134%	-18%	152%	116%
End Mar 2007	144%	-28%	166%	110%
End Apr 2007	137%	-10%	147%	128%
End May 2007	147%	-11%	158%	138%
End Jun 2007	148%	-16%	164%	133%
End Jul 2007	148%	-24%	172%	124%
End Aug 2007	146%	-14%	160%	132%
End Sep 2007	135%	-9%	144%	126%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP



Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP

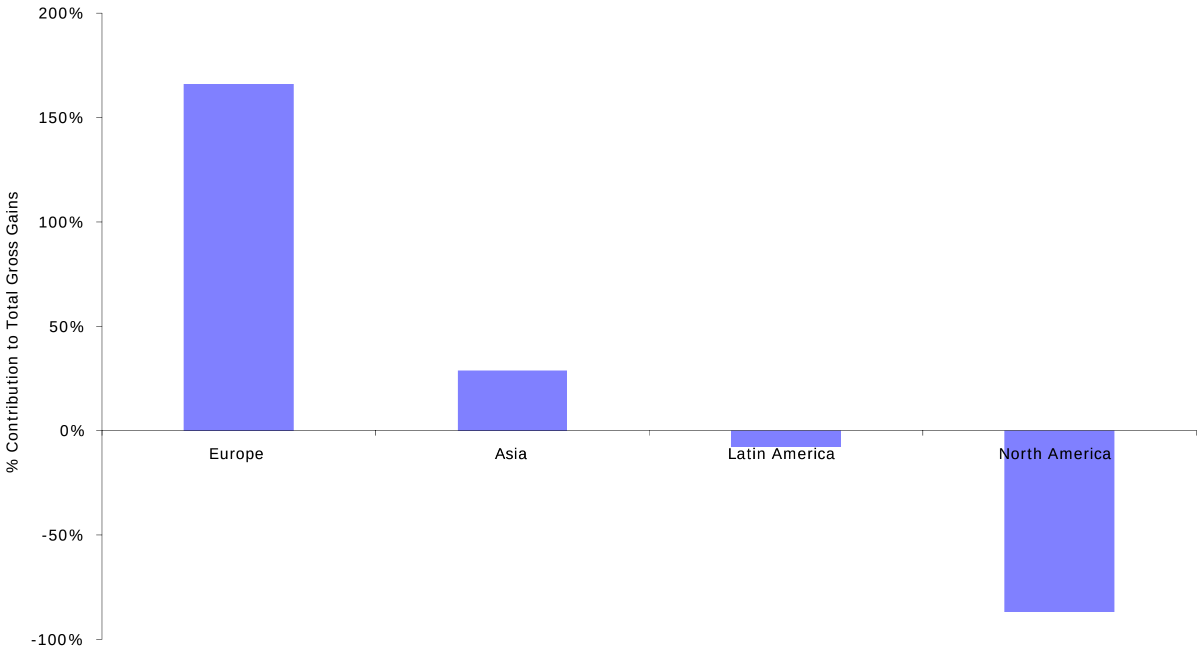
b. Geographic Portfolio Exposure



Notes: Figures are calculated of a base of 100.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP

c. Performance Contribution Q3 2007

By Geography



Notes: Figures are calculated of a base of 100.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP

By Position

Position	% Contribution to Gross Performance	% of Total Q3 Gross Gains
Major Contributors		
Deutsche Boerse	+2.6%	+67%
ABN Amro	+2.3%	+57%
Garanti Bank	+0.4%	+9%
Sterlite	+0.4%	+9%
Indian banks	+0.7%	+17%
Major Detractors		
US rails	-1.3%	-33%
US aggregates	-1.0%	-29%
Electric Power Corporation	-0.4%	-9%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP

3. Portfolio Review

The fund suffered a significant drawdown during August as all our major holdings were sold off aggressively and this was exacerbated by our leverage. We suffered more losses than the market averages because of stock specific factors.

For our ABN Amro holding the market became concerned that, as a result of the sub prime and commercial paper crisis, the offers from Barclays and RBS might not proceed. Deutsche Boerse suffered from concerns over trading volumes drying up and its disproportionate ownership from hedge funds which actively deleveraged in August. Our US railways and aggregates stocks were violently sold on the expectations of weakening business due to the continued decline of the US housing market.

We became concerned during the quarter that there might be a systemic banking crisis in Europe as a result of the interbank market freezing up and the inability to roll commercial paper of many banks during mid August. Given our large exposures to European banks, through ABN Amro, we decided to execute a material short position in early August in European and US banks and global equity futures. When it became clear that central banks were willing to act aggressively to avoid systemic risk we substantively covered these shorts resulting in a break even p&l on the shorts and hedges. During September the European portfolio rebounded strongly but the US portfolio did not.

ABN Amro

Barclays raised their offer during July to significantly increase the cash component but the collapse in their shares during August made their offer fall in value from €35 to €31. The RBS consortium maintained their 93% cash offer worth €38 which was not materially impacted by the collapse in the RBS share price due to the small share component of only 7% of the offer value.

The fact that any change in the RBS offer would have (a) delayed the offer potentially allowing Barclays to win, (b) created a legal liability for the consortium, (c) needed approval of all consortium members, as well as the fact (d) we did not believe that any material change had occurred in the ABN Amro business since it was a commercial not investment bank and had been conservatively run, all reduced the chance of the consortium walking away or cutting the price. ABN Amro made a trading statement in September reconfirming that they expected to meet their earnings targets for 2007 and that there had been no material adverse change in their business as a result of the capital markets turmoil of August.

We have maintained private and public pressure on ABN Amro's board ever since the RBS interest was first announced to allow the hostile RBS offer to be allowed to compete on a level playing field despite the determined efforts of the CEO to thwart its progress.

The offer for ABN Amro from the RBS consortium closed last week and we tendered our shares to this offer. It has received an 85% acceptance rate and we expect the offer to be declared unconditional this week. If this occurs then we will make a 50% gain on our first purchases of stock in less than one year. A hostile $100 billion consortium break up of one of the world's largest banks despite a banking crisis will be a historic deal. It will undoubtedly have further impacts on the banking landscape in Europe.

Deutsche Boerse

Having disappointed during July on their cost base, Deutsche Boerse announced in September that they would cut €100m from their costs and immediately restart share repurchases. Volumes in Q3 across all businesses have been huge. One of the benefits of turmoil such as seen in August is the massive hedging in both fixed income and equities which occurs benefiting Eurex. Volumes in ISE, the US equity options exchange which Deutsche Boerse is acquiring have also been exceptionally strong.

Valuations across the global exchange space have rallied this year significantly but Deutsche Boerse remains the cheapest major exchange according to our analysis by a material amount.

US Railways

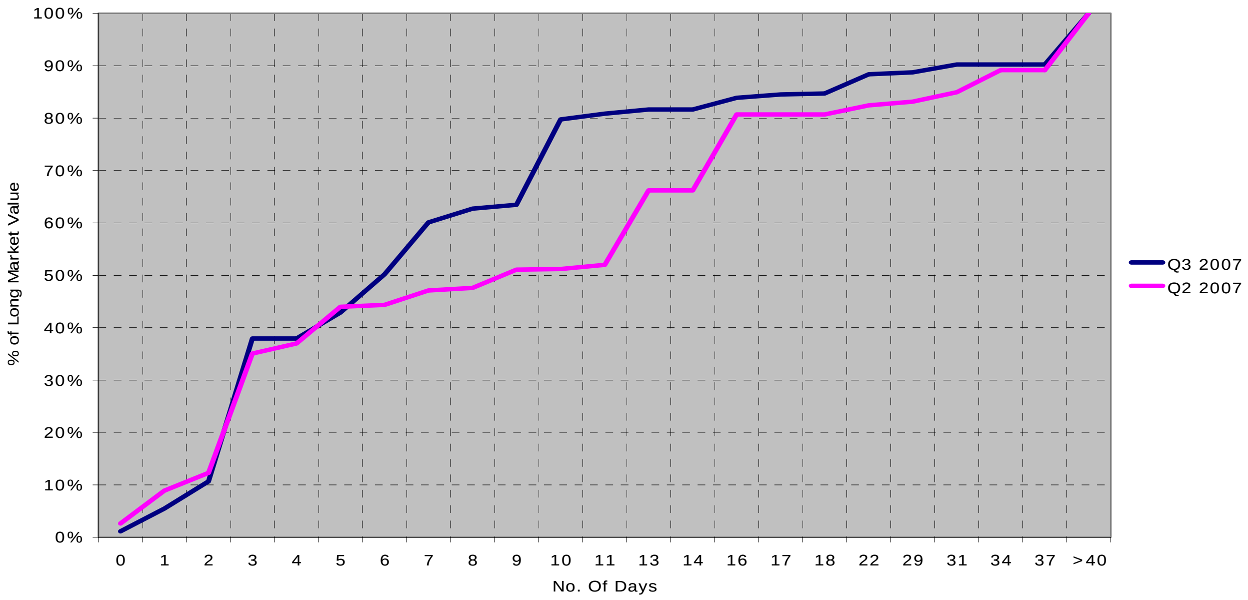
Having appreciated some 50% YTD at their high in early August, CSX stock fell 20% by the end of the quarter and the sector by around 10%. Concerns regarding weakness in housing and the overall US economy contributed to profit downgrades and profit taking. Additionally, ''fast money'' that had entered the rail sector on expectations of LBOs exited the sector with the abrupt collapse of the leveraged loan market during August. During the quarter we increased our exposure to the US rail sector to around 25% of the fund, with the addition of another rail stock to our portfolio.

This coming year we see an excellent opportunity to make 15-20% long term returns in the US rail sector based on the thesis on strong pricing long term, reversionary contracts and great operational inefficiencies.

US Aggregates

These fell violently during the quarter by some 23% as concerns over US housing exposure and some profit downgrades caused long and short selling. Our view of these positions does not change. US housing is now sub 20% of the profit pool of these holdings on our forecasts for next year.

4. Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP

The fund's liquidity improved between Q2 and Q3.

5. New Fund Documentation

A month ago, the new set of TCI Fund documentation was sent out to all investors by TCI and to all registered shareholders by the fund's independent administrator Citco. The deadline to receive your consent to the amended offering memoranda is October 15th. If you have any questions please do not hesitate to contact Rahul.

6. The Firm

a. Personnel

During Q3, there were the following additions to the business management team:

- Operations: We further strengthened the operations team with the addition of two more operations officers – Sarah Collins from Schroders and Kinali Joshi from ICAP. Rob Ottley has left his position with us as CTO.

- Finance: During Q2 Ashif Pabani joined as a financial accountant from KPMG, where he was an auditor. William Game, who recently graduated in mathematics from Nottingham University, joined the performance analytics team.

- Compliance: Our new compliance team started during the quarter. The Head of Compliance – Angus Milne – joins us from the Investment Management Association and has fifteen years of regulatory experience including senior roles with the FSA and its predecessor IMRO. Angus is joined by a Compliance Manager – Ghislaine Couvillat – who worked previously for the Ashmore Group and before that for the

Mirabaud Group and brings with her seven years compliance experience. Ghislaine, amongst other tasks, will take front line responsibility for disclosures and monitoring.

- IT and Business Applications: Brian Eschenburg joined TCI during Q3 to add in-house IT support and development functions. Bradd Bentley was a further addition to the team during the quarter and joined us as product integration specialist.

7. TCI Affiliated Investment Managers

a. Algebris Investments

The Algebris Global Financials Fund was up 9% net for Q3 2007 (31% net YTD and 41% net since their October 2006 inception). The fund is currently open to subscriptions as the team see a number of significant investment opportunities. The firm now manages $1.8bn of assets.

b. KDA Capital

The KDA Capital European Fund, a “long only” absolute return fund focusing on mid- and large-cap European equities, was down 9% for Q3 2007, taking its net performance since inception (1 December 2005) to 43%. The firm now manages $1.7bn of assets and is closed.

c. Parvus Asset Management

The Parvus European Absolute Opportunities Fund, which invests long and short in European equities, was up 1% net for Q3 2007. The fund is up 9% for 2007 and 126% on a net basis since its inception (1 October 2004). The firm now manages $3.5bn of assets and the funds are currently closed.

For further information on TCI and its affiliated managers please contact Rahul Moodgal by email at rahul@tcifund.com or by telephone on +44 20 7440 2384.

Christopher Hohn
Managing Partner
October 2007

Appendix 1 – Top Long Positions

Top Long Positions at Quarter End – Q3 2007 Trading Gains / Losses

Outright Long	Country	Market Cap ($bn)	% Contributed To P&L
Deutsche Boerse	Germany	28	+2.6%
ABN Amro	Netherlands	102	+2.3%
CSX	United States	19	-0.9%
Intesa	Italy	100	-0.1%
Link REIT	Hong Kong	5	-0.1%
Total			**+3.8%**

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP

Appendix 2 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) $	Class A (3yr) €	Class B (5yr) $	Class B (5yr) €	Class C (5yr) $	Class C (5yr) €	MSCI World (€)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+2.24%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.43%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			+0.54%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01			+3.14%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			+0.52%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			-1.05%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.81%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+1.26%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-1.89%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			-1.10%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			-0.30%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-3.31%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			-0.53%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+1.29%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+1.62%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+2.39%
2004		**+41.95%**	**+43.04%**	**+43.65%**	**+44.39%**			**+3.40%**
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			+1.56%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+1.53%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-0.18%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-1.70%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+6.21%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+2.34%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			+6.75%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.30%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			-1.26%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+5.20%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+7.30%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.21%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+4.93%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+1.62%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+4.27%
2005		**+49.66%**	**+48.90%**	**+51.48%**	**+50.68%**			**+17.58%**
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+1.77%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			+1.68%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+0.30%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+3.79%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	-1.33%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-5.03%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.03%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-6.45%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.73%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.02%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+2.18%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+5.00%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+2.89%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	-1.45%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+2.29%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+4.33%
2006		**+38.99%**	**+36.76%**	**+40.45%**	**+38.08%**	**+24.57%**	**+22.97%**	**+6.36%**
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+2.52%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-2.30%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+0.51%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+0.67%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+1.94%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+4.15%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-1.56%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%%	+6.67%	+4.52%
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Inception Jan 2004		**+252.75%**	**+243.68%**	**+267.32%**	**+256.55%**	**+48.81%**	**+45.13%**	**+39.13%**